



January WASDE: A Bearish Revision for Grains

- The USDA published its World Agricultural Supply and Demand Estimate (WASDE) report for January, updating forecasts for the 2025/26 global crop.
- Corn output was materially raised by 13mn tons (+1%), narrowing the 2025/26 global deficit to 3.8mn tons (vs. 14.2mn tons in December), resulting in a more bearish outlook for prices (StU ratio +90bps MoM).
- Production was also revised upward for soybeans (+3.1mn tons MoM) and wheat (+4.4mn tons MoM), leading to even more comfortable S&D balances (StU ratio +40bps MoM for both), and reinforcing a low-price environment.
- Cotton was the only commodity in which the StU ratio has tightened (-140bps MoM), although the USDA is still forecasting a 0.7k bales surplus for 2025/26, which should prevent a material price rebound.
- January WASDE reinforced our cautious outlook for soft commodity prices. In that sense, 3tentos remains our Top Pick, given its lower exposure to commodity prices, a strong bottom-up growth story, and the fact that it is trading at an attractive 8.8x P/E 2026.

Our take: A more comfortable S&D for grains should continue to cap prices. The revisions incorporated in January’s WASDE were among the most relevant for the 2025/26 crop, bringing a more comfortable balance for most commodities. In the case of corn, which we viewed as having the clearest upward price asymmetry among grains, the 13mn tons increase in global production now supports a more cautious outlook for price appreciation. For soybeans, the higher-than-expected production from Brazil reversed the expected global deficit to a small surplus. On the one hand, low grain prices should remain a headwind for agricultural producers such as SLC. On the other hand, it eases the risk of input costs picking up for meatpackers in 2026, although we continue to expect the protein-cycle downturn to keep earnings momentum at bay. All in all, we maintain 3tentos as our Top Pick, being less exposed to commodity prices while also featuring a compelling bottom-up growth story at an attractive 8.8x P/E 2026.

Soybeans: S&D shifted to a 1mn tons surplus. The estimate for global soybean production in 2025/26 was increased by 3.1mn tons MoM (+0.7%), reflecting better crops in Brazil and in the US. The estimated demand grew 1.3mn tons MoM, resulting in a global surplus of 1mn tons (vs. a 0.9mn tons deficit in Dec.). The StU ratio grew to a comfortable 29.4% (+40bps MoM; -40bps YoY).

Corn: Deficit narrowed on strong crops in both the US and China. Global 2025/26 corn production was materially raised by 13mn tons (+1%), which incorporated better prospects in both the US (+6.8mn tons MoM) and China (+6.2mn tons). Consumption, for its part, was raised by 2.5mn tons based on the stronger demand from China. All in all, the expected deficit was reduced to 3.8mn tons (from -14.2mn tons in Dec.), while the StU ratio rose to 22.6% (+90bps MoM; -90bps YoY).

Cotton: S&D tightens, but still a surplus. The USDA reduced its 2025/26 cotton production estimate by 355k bales (-0.3%), mostly impacted by crops in the US, Argentina, and Turkey, while it increased its forecast for consumption by 310k bales (+0.3%). Thus, the expectation is now for a smaller surplus of 720k bales (vs. +1.4mn bales in Dec.), and a StU ratio of 62.6% (-140bps MoM; +60bps YoY).

Wheat: Record crop in Argentina to boost global production. The global wheat production estimate was raised by 4.4mn tons MoM (+0.5%), on the back of a record crop in Argentina at 27.5mn tons (+3.5mn tons MoM) as well as stronger output in Russia (+2mn tons MoM), offsetting lower production in Turkey (-1mn tons MoM). Consumption was also revised upward but to a lesser extent (+0.1%), leading to an expected surplus of 18.3mn tons (vs. +14.8mn tons in Dec.) and a StU of 33.9% (+40bps MoM; +150bps YoY).

Ticker	Rating	FX	Last Px	TP	Upside
TTEN3 BZ	OP	BRL	16.1	21.00	31%
SOJA3 BZ	OP	BRL	8.5	14.00	64%
SLCE3 BZ	N	BRL	15.1	20.00	33%
SMT03 BZ	N	BRL	16.5	21.00	27%
MDIA3 BZ	N	BRL	24.8	28.00	13%
CAML3 BZ	OP	BRL	5.9	8.00	35%
JBS US	OP	USD	14.3	20.00	40%
MBRF3 BZ	N	BRL	19.8	24.00	21%
BEEF3 BZ	N	BRL	5.4	8.00	49%

Ticker	Mkt Cap \$mn	3M ADTV US\$mn	P/E 2025E	EV/EBITDA 2025E
TTEN3 BZ	8,002	19.3	11.5	7.9
SOJA3 BZ	1,146	7.4	8.8	5.5
SLCE3 BZ	6,621	32.8	8.6	7.5
SMT03 BZ	5,422	40.0	9.7	3.6
MDIA3 BZ	8,301	16.9	11.7	6.5
CAML3 BZ	2,023	4.6	10.5	5.4
JBS US	15,871	406.5	7.9	5.5
MBRF3 BZ	28,437	256.8	10.9	6.0
BEEF3 BZ	1,149	16.0	4.2	3.8

Henrique Brustolin
henrique.brustolin@bradescobbi.com.br
+55 (11) 97696-8487

Pedro Fontana
pedro.fontana@bradescobbi.com.br
+55 (11) 98923-0868

Rice: Low prices to persist. With higher supply (+1.6mn tons) only partially offset by also higher consumption (1mn tons), the USDA is expecting a smaller global deficit of 0.9k tons (vs. -1.5mn tons in Dec.). The StU ratio was raised to 35.3% (+20bps MoM; -90bps YoY).

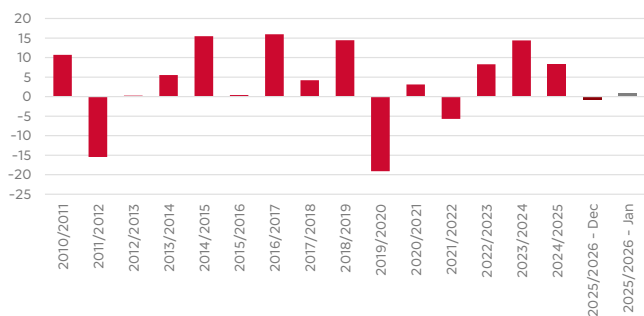
Soybean Outlook

Table 1 - Soybeans - 2025/26 World Supply and Demand Estimates ('000 tons)

	January			December	
	2025/26	2024/25	YoY	2025/26	Revision
Beginning Stocks	123,399	115,077	7.2%	123,235	0.1%
Production	425,679	427,154	-0.3%	422,541	0.7%
Imports	186,039	179,372	3.7%	186,144	-0.1%
Domestic Consumption	423,144	413,506	2.3%	421,849	0.3%
Exports	187,568	184,698	1.6%	187,701	-0.1%
Ending Stocks	124,405	123,399	0.8%	122,370	1.7%
Stock-to-Use	29.4%	29.8%	-0.4pp	29.0%	0.4pp
Surplus/Deficit	1,006	8,322	-87.9%	-865	-

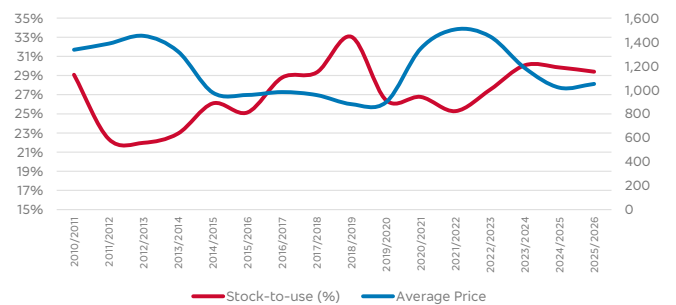
Source: USDA and Bradesco BBI

Figure 1 - Soybeans - Global Surplus/Deficit (mn tons)



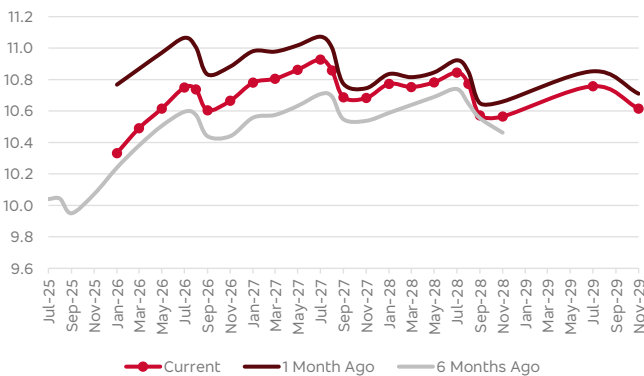
Source: USDA and Bradesco BBI

Figure 2 - Soybeans - StU Ratio vs. Prices (c/bu)



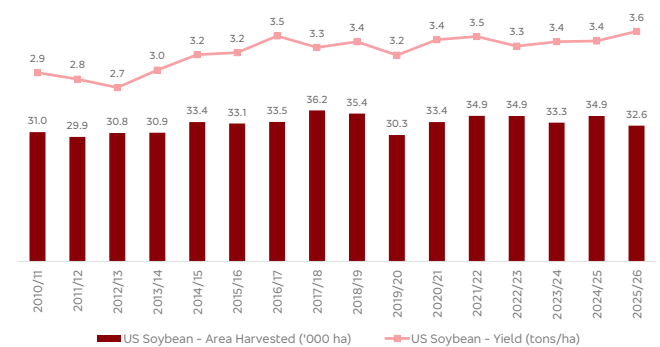
Source: USDA, Bloomberg, and Bradesco BBI

Figure 3 - Soybeans - Future Curve Evolution (c/bu)



Source: Bloomberg and Bradesco BBI

Figure 4 - US Soybean - Area Harvested and Yield Evolution



Source: USDA and Bradesco BBI

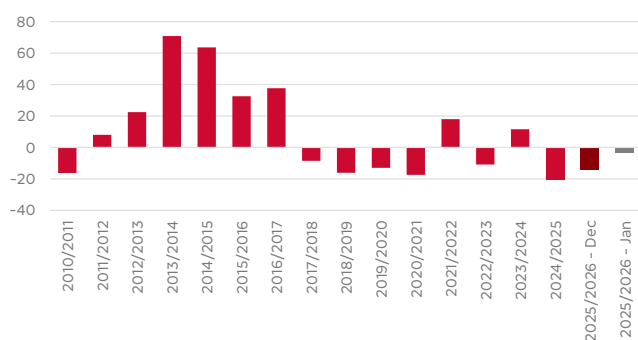
Corn Outlook

Table 2 - Corn - 2025/26 World Supply and Demand Estimates ('000 tons)

	January			December	
	2025/26	2024/25	YoY	2025/26	Revision
Beginning Stocks	294,696	315,423	-6.6%	293,369	0.5%
Production	1,296,014	1,230,863	5.3%	1,282,962	1.0%
Imports	190,223	186,099	2.2%	190,368	-0.1%
Domestic Consumption	1,284,918	1,251,049	2.7%	1,282,447	0.2%
Exports	205,106	186,640	9.9%	205,101	0.0%
Ending Stocks	290,909	294,696	-1.3%	279,151	4.2%
Stock-to-Use	22.6%	23.6%	-0.9pp	21.8%	0.9pp
Surplus/Deficit	-3,787	-20,727	81.7%	-14,218	73.4%

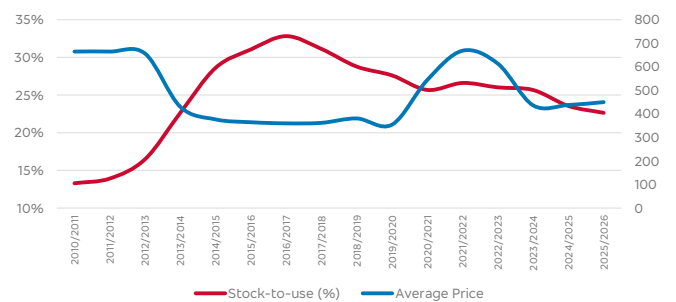
Source: USDA and Bradesco BBI

Figure 5 - Corn - Global Surplus/Deficit (mn tons)



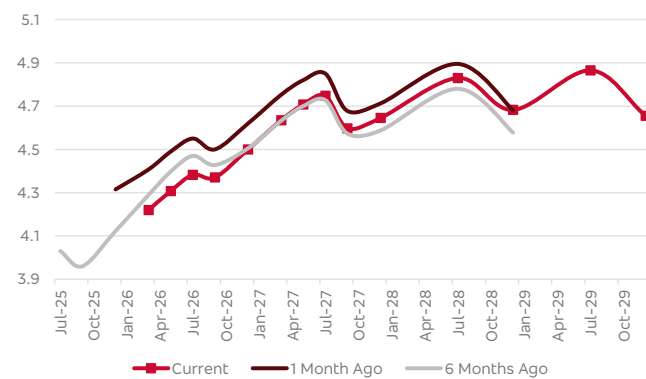
Source: USDA and Bradesco BBI

Figure 6 - Corn - StU Ratio vs. Prices (c/bu)



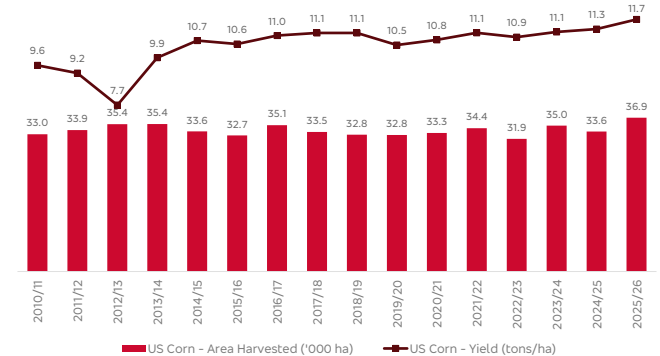
Source: USDA, Bloomberg and Bradesco BBI

Figure 7 - Corn - Future Curve Evolution (c/bu)



Source: Bloomberg and Bradesco BBI

Figure 8 - US Corn - Area Harvested and Yield Evolution



Source: USDA and Bradesco BBI

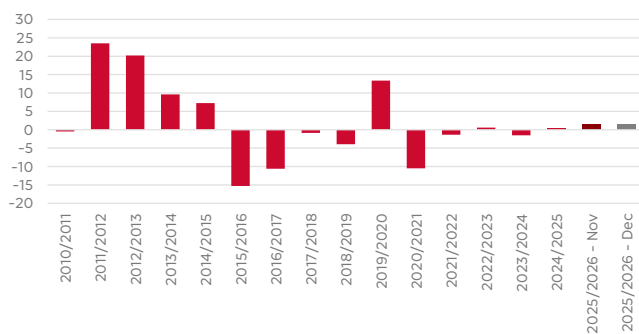
Cotton Outlook

Table 3 - Cotton - 2025/26 World Supply and Demand Estimates ('000 bales)

	January			December	
	2025/26	2024/25	YoY	2025/26	Revision
Beginning Stocks	73,762	73,354	0.6%	74,612	-1.1%
Production	119,433	118,477	0.8%	119,788	-0.3%
Imports	43,757	43,034	1.7%	43,732	0.1%
Domestic Use	118,915	118,936	0.0%	118,605	0.3%
Exports	43,772	42,391	3.3%	43,742	0.1%
Ending Stocks	74,482	73,762	1.0%	75,972	-2.0%
Stock-to-Use	62.6%	62.0%	0.6pp	64.1%	-1.4pp
Surplus/Deficit	720	408	76.5%	1,360	-47.1%

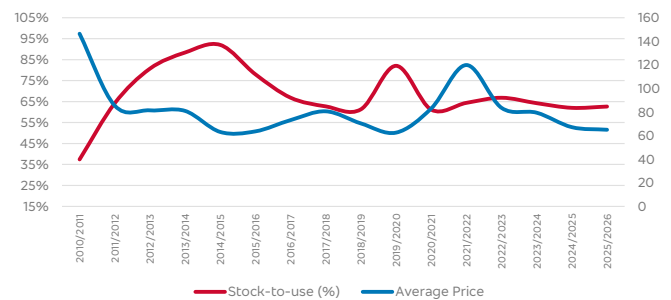
Source: USDA and Bradesco BBI

Figure 9 - Cotton - Global Surplus/Deficit (mn bales)



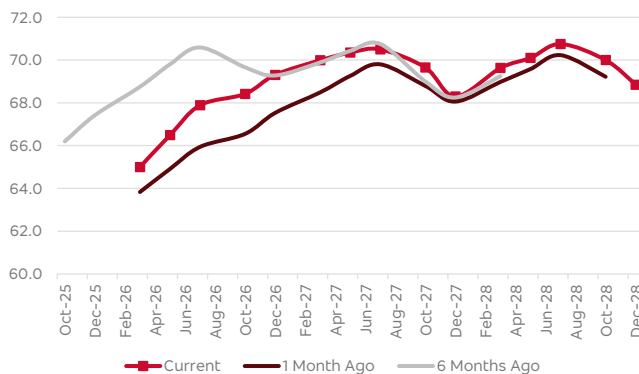
Source: USDA and Bradesco BBI

Figure 10 - Cotton - StU Ratio vs. Prices (c/lb)



Source: USDA, Bloomberg, and Bradesco BBI

Figure 11 - Cotton - Future Curve Evolution (c/lb)



Source: Bloomberg and Bradesco BBI

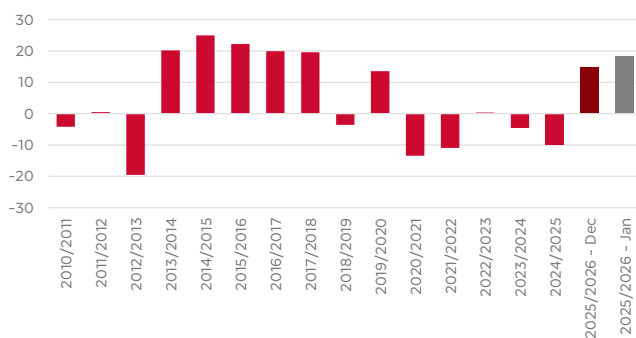
Wheat Outlook

Table 4 - Wheat - 2025/26 World Supply and Demand Estimates ('000 tons)

	January			December	
	2025/26	2024/25	YoY	2025/26	Revision
Beginning Stocks	259,995	270,046	-3.7%	260,033	0.0%
Production	842,167	800,807	5.2%	837,807	0.5%
Imports	215,536	200,303	7.6%	214,386	0.5%
Domestic Consumption	819,689	800,669	2.4%	818,646	0.1%
Exports	219,757	210,492	4.4%	218,707	0.5%
Ending Stocks	278,252	259,995	7.0%	274,873	1.2%
Stock-to-Use	33.9%	32.5%	1.5pp	33.6%	0.4pp
Surplus/Deficit	18,257	-10,051	-	14,840	23.0%

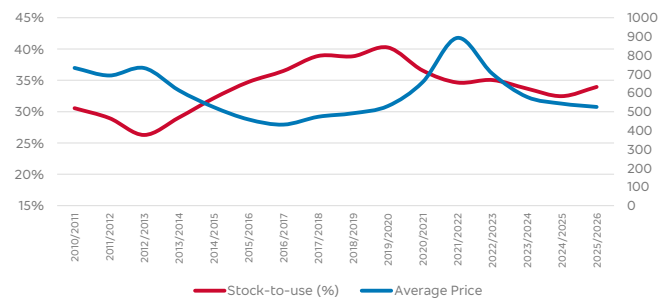
Source: USDA and Bradesco BBI

Figure 12 - Wheat - Global Surplus/Deficit (mn tons)



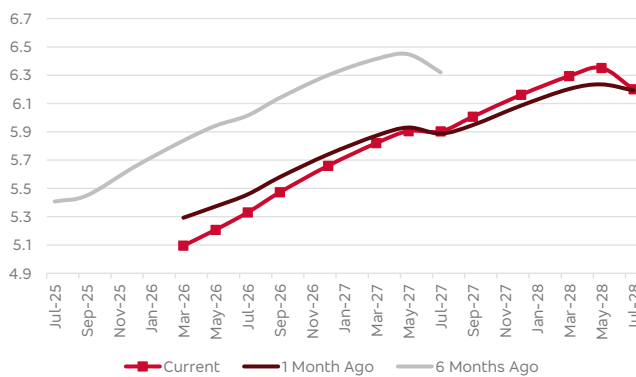
Source: USDA and Bradesco BBI

Figure 13 - Wheat - StU Ratio vs. Prices (c/bu)



Source: USDA, Bloomberg and Bradesco BBI

Figure 14 - Wheat - Future Curve Evolution (c/bu)



Source: Bloomberg and Bradesco BBI

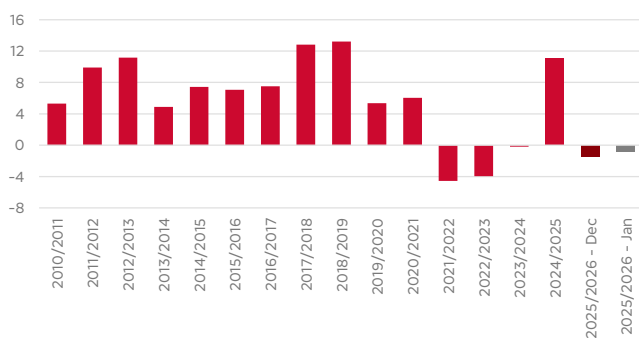
Rice Outlook

Table 5 - Rice- 2025/26 World Supply and Demand Estimates ('000 tons)

	January			December	
	2025/26	2024/25	YoY	2025/26	Revision
Beginning Stocks	191,221	180,161	6.1%	190,329	0.5%
Production	541,155	541,296	0.0%	540,405	0.1%
Imports	60,110	57,703	4.2%	59,237	1.5%
Domestic Consumption	538,641	527,049	2.2%	537,909	0.1%
Exports	63,501	60,890	4.3%	63,231	0.4%
Ending Stocks	190,344	191,221	-0.5%	188,831	0.8%
Stock-to-Use	35.3%	36.3%	-0.9pp	35.1%	0.2pp
Surplus/Deficit	-877	11,060	-	-1,498	41.5%

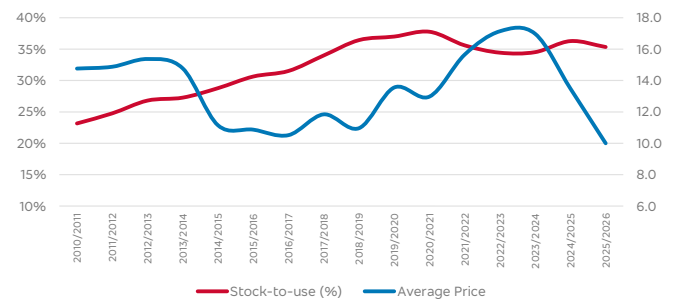
Source: USDA and Bradesco BBI

Figure 15 - Rice - Global Surplus/Deficit (mn tons)



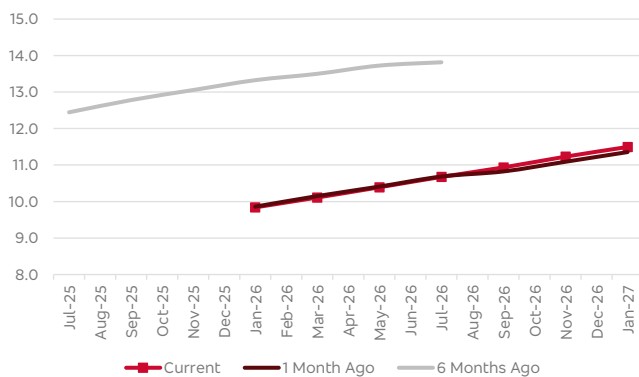
Source: USDA and Bradesco BBI

Figure 16 - Rice - StU Ratio vs. Prices (USD/cwt)



Source: USDA, Bloomberg and Bradesco BBI

Figure 17 - Rice - Future Curve Evolution (USD/cwt)



Source: Bloomberg and Bradesco BBI

Analyst Certification

Henrique Brustolin was responsible for the preparation and content of this report hereby certifies, pursuant to SEC Regulation Analyst Certification and applicable laws and regulations of other jurisdictions, that:

(i) the views expressed herein accurately and exclusively reflect their personal views and opinions about the issuer(s) and its or their securities;

(ii) no part of their compensation was, is, or will be paid directly or indirectly, related to the specific recommendation or views expressed by that analyst in this report;

And pursuant to Brazilian securities exchange commission (Comissão de Valores Mobiliários – CVM) Resolution N° 20:

(i) the recommendations indicated in this report solely and exclusively reflect their personal opinions, and were prepared independently and autonomously, including in relation to Bradesco Group and its affiliates;

(ii) their compensation is based on the profitability of Ágora CTVM and its affiliates, which includes investment banking revenues;

Important Disclosures

Company-Specific Disclosures

- Ágora CTVM, Bradesco BBI and Bradesco Group companies have relevant financial and commercial interests in relation to all subject companies or the subject securities;
- Bradesco BBI participated as coordinator in the public offering of equity and/or debt securities and/or provided any other type of service for the following companies within the past 12 months mentioned in this report: Boa Safra, Camil and MBRF
- Ágora CTVM participated in the public offering of equity and/or debentures for the following companies within the past 12 months: Boa Safra, Camil and MBRF;
- Bradesco BBI may provide services related to financial advisory/M&A for the company(ies) mentioned in this report.

US - Company-Specific Regulatory Disclosures

- Bradesco BBI, Ágora CTVM and/or its affiliates have received compensation for investment banking services from the subject company(ies) in the twelve months preceding the date of publication of the research report and/or expects to receive or intends to seek compensation for investment banking services from the subject company(ies) or the companies within their economic group in the three months following the date of this report.
- Bradesco BBI and/or its affiliates have managed or co-managed a public or Rule 144A offering of Boa Safra, Camil and MBRF securities in the twelve months preceding the date of this report

Research ratings distribution

Rating	Definition	Coverage ¹	BR ²
OUTPERFORM	Expected to outperform the analyst coverage list	53.9%	25.6%
NEUTRAL	Expected to perform in the range of the analyst coverage list	42.4%	10.9%
UNDERPERFORM	Expected to underperform the analyst coverage list	3.7%	0.0%

(1) Percentage of companies under coverage globally within this rating category.

As of 2026 Bradesco BBI @# had 246 companies under coverage globally.

(2) Percentage of companies within this rating category for which [investment banking] services were provided within the past 12 months

Our ratings

Our ratings are constantly revised and any temporary inconsistencies between the upside potential that gave rise to any such rating and the upside potential in connection with the target price are at all times deliberate. The official rating shall prevail.

Any differences between the rating and the target price may occur especially due to the analyst's expectations to the effect that any short/medium term factors that cannot be priced-in yet might lead to inconsistencies between our valuation and the stock behavior. The factors considered include, but are not limited to: Any expectations in connection with quarterly results, market conditions, ownership issues and any expectations involving mergers and acquisitions. The ratings reflect only the analyst's expectation on the future performance of the relevant stock. An "Outperform" rating does not necessarily represent that the analyst approves of the company and its management whilst an "Underperform" rating does not necessarily mean that the analyst has a negative view on the company. Within our coverage universe there are sound companies, with good fundamentals as per the market consensus, and fair priced stock, and would not be our investment pick.

Additional Disclosures

With the exception of investment company funds, our analysts are prohibited to own securities of their respective area of coverage to analysts as well as to the associates reporting to the analysts. Analysts are paid in part based on the profitability of Ágora CTVM and its affiliates, which includes investment banking revenues. Our policy prohibits its analysts and associates reporting to the analysts from serving as an officer or director, advisory board member or employee of any company in the analysts' area of coverage.

The following disclosures are required under or based on the laws of the jurisdiction indicated, except to the extent already made above with respect to United States laws and regulations. Brazil: This report is distributed in Brazil by Ágora CTVM. Any investor in Brazil who receives this report and wishes to conduct transactions with stocks analyzed herein should contact and request execution of orders through Ágora CTVM at its official contacts

United Kingdom and European Economic Area: In the United Kingdom and elsewhere in the European Economic Area, this report may be made or communicated by Bradesco Securities UK Limited ("Bradesco UK"). Bradesco UK is authorized and regulated by the Financial Services Authority and its registered office is at: 20-22 Bedford Row, London, WC1R 4JS. This report is for distribution only to persons who:

- are persons that are eligible counterparties and professional clients of Bradesco UK;
- have professional experience in matters relating to investments falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Financial Promotion Order");

- are persons falling within Article 49 (2) (a) to (d) ("high net worth companies, unincorporated associations etc") of the Financial Promotion Order;
- are outside the United Kingdom, or
- are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000) in connection with the issue or sale of any securities to which this report relates may otherwise lawfully be communicated or caused to be communicated (all such persons together being referred to as "relevant persons").

This report is directed only at relevant persons and must not be acted on or relied on by persons who are not relevant persons. Any investment or investment activity to which this report relates is available only to relevant persons and will be engaged in only with relevant persons. No public offer of any securities to which this report relates is being made by Bradesco UK or Ágora CTVM in the United Kingdom or elsewhere in the European Economic Area.

United States: If not mentioned above on "Bradesco Securities Representative" disclosure, the research members that have prepared and reviewed this research report are not associated persons of Bradesco Securities. They are not registered or qualified as research analysts with FINRA and are not subject to the rules of the FINRA, including FINRA Rule 2241 restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account. Such analysts have the obligation to be in compliance with similar Brazilian legislation and internal policies.

Any U.S. person wishing to effect transactions in securities discussed in this report must do so through Bradesco Securities, Inc., a U.S. broker-dealer.

Hong Kong: In Hong Kong, this report may be distributed by Bradesco Securities Hong Kong Limited ("Bradesco HK"). Bradesco HK is licensed by the Securities and Future Commission ("SFC") to carry on Type 1 and Type 4 regulated activities as defined in the Securities and Future Ordinance (Cap. 571 of the Laws of Hong Kong) ("SFO") in Hong Kong, subject to conditions published on the website of the SFC from time to time. Except for Bradesco HK, none of its affiliates, including Ágora CTVM, carry out or is licensed/authorized to carry out any regulated activities as defined in the SFO in Hong Kong and each of these affiliates is prohibited from carrying on any regulated activities, including but not limited to dealing in securities and advising in securities (as defined in the SFO), in Hong Kong. This report is directed to you by Bradesco HK based on your interest and preference in the relevant underlying securities that you have previously communicated to Bradesco HK. You agree that this report is not intended for the promotion of any services or products of any of Bradesco HK's affiliates in Bradesco group, including those of Ágora CTVM. All Hong Kong recipients of this report wishing to effect transactions in securities discussed should contact and place orders through Bradesco HK at (852) 22518716 or (852) 22518718. This report is intended for distribution only to non-Hong Kong residents or professional investors as defined in the SFO. It is provided solely for informational purposes and do not constitute an offer to buy or sell or a solicitation of an offer to buy or sell any security, product, service or investment to the public within the meaning of the Companies Ordinance (Cap. 32 of the Laws of Hong Kong) or to professional investors within the meaning of the SFO. It has not been reviewed by the SFC or any regulatory authority in Hong Kong.

Other Countries: This report, and the securities discussed herein, may not be eligible for distribution or sale in all countries or to certain categories of investors. In general, this report may be distributed only to professional and institutional investors.

Price target and rating history

Price target, rating history chart(s), valuation/method used to determine price target, and our policy for managing conflicts of interest in connection with investment research are available upon request. You may obtain this information by contacting your representative.

General Disclosures

- 1) Bradesco BBI  is trademark owned by Banco Bradesco S.A. The analysts responsible for this report are part of Ágora CTVM, a Bradesco's Group company.
- 2) This report has been prepared solely by Ágora CTVM and is being provided exclusively for informational purposes. The information, opinions, estimates and projections constitute the judgment of the author as of the current date and are subject to modifications without prior notice. Ágora CTVM has no obligation to update, modify or amend this report and inform the reader accordingly, except when terminating coverage of the issuer of the securities discussed in this report.
- 3) This report, including the estimates and calculations of Ágora CTVM, is based on publicly available information that it consider reliable, but it do not represent it is accurate or complete, and should not be relied upon as such.
- 4) This report is not an offer or a solicitation for the purchase or sale of any financial instrument. It is not intended to provide personal investment advice and it does not take into account the specific investment objectives, financial situation and the particular needs of any specific person who may receive this report. Investors should seek financial advice regarding the appropriateness of investing in any securities, other investment or investment strategies discussed or recommended in this report and should understand that statements regarding future prospects may not be realized.
- 5) Investors should note that income from securities or other investments, if any, referred to in this report may fluctuate and that price or value of such securities and investments may rise or fall. Accordingly, investors may receive back less than originally invested. Past performance is not necessarily a guide to future performance. Ágora CTVM and its affiliates do not accept responsibility for any direct or indirect loss arising due to use of this report. Investors should consider whether any advice or recommendation in this research is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. Exchange rate movements could have adverse effects on the value or price of, or income derived from, certain investments.

6) Ágora CTVM's and its affiliates' salespeople, traders and other professionals may provide oral or written market commentary or trading strategies to their clients and their proprietary trading desks that reflect opinions that are contrary to the opinion expressed in this report. Such market commentary or trading strategies reflect the different time frames, assumptions, views and analytical methods of the persons who prepared them, and Ágora CTVM and its affiliates are under no obligation to ensure that such market commentary or trading strategies are brought to the attention of any recipient of this report.

7) From time to time, Ágora CTVM or its affiliates and officers, directors and employees, not including its analysts may, to the extent permitted by law, hold long or short positions, or otherwise be interested in transactions in assets directly or indirectly related to this report.

8) Non-US research analysts who have prepared this report are not registered or qualified as research analysts with FINRA but instead have satisfied the registration and qualification requirements or other research-related standards of a non-US jurisdiction.

Any additional information may be obtained by contacting your representative.

No portion of this document may be (i) copied, photocopied or duplicated in any form, or by any means, or (ii) redistributed without prior consent from Ágora CTVM